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C-SUITE SPOTLIGHT

“We have witnessed two important segments—MSME and agriculture—growing. Almost 16-17% credit growth rate is seen in these two sectors”



coming in. I think it has more to do with the external markets. They're not very sure how the export markets are going to behave... In my view, 70-75% capacity utilisation generally triggers capital expenditure movement, where they have to add new capacity. That's been stagnant for almost two years...

Q: What needs to be done to help revive demand?

A: I think all the enablers are in place in terms of the infrastructure, taxation... What is important for the private investment to kick in is in terms of the demand... We have been, of course, talking to the government that **till private investment kicks in, the heavy lifting has to be done by the Government of India... till the demand picks up...** [there are] a couple of other reasons also, if you see the first two quarters; we have had elections in one quarter, another quarter saw heavy rains... We may or may not have felt the effects directly, but they definitely slowed down investments, particularly on the government side... And Q3, Q4 onwards, probably government expenditure will

accelerate and create demand in the rural and urban areas. We are confident that rural will do better because heavy rains in the kharif season has added to the reservoir levels. This is a good crop... and good rural demand will have a significant effect on the overall consumption pattern.

Q: There has been a flight of capital to the stock markets, and deposits have been lagging credit. How do you view this? Has the situation stabilised now?

A: The latest numbers indicate that deposits growth has overtaken credit growth, which means that equilibrium is being achieved now. It will stabilise at around 11-12% both on the deposits and advances side. As far as savers to investors, I think it is a debate that has been active in various fora... It is not only about investment in equity market... the flight of money from savings account to fixed deposit is also there. So, ease of doing investment and investment awareness [are factors]. Obviously, mutual funds have also contributed in terms of creating this investment culture. But eventu-